Diploma in UX Design

E-commerce: Payment & Checkout

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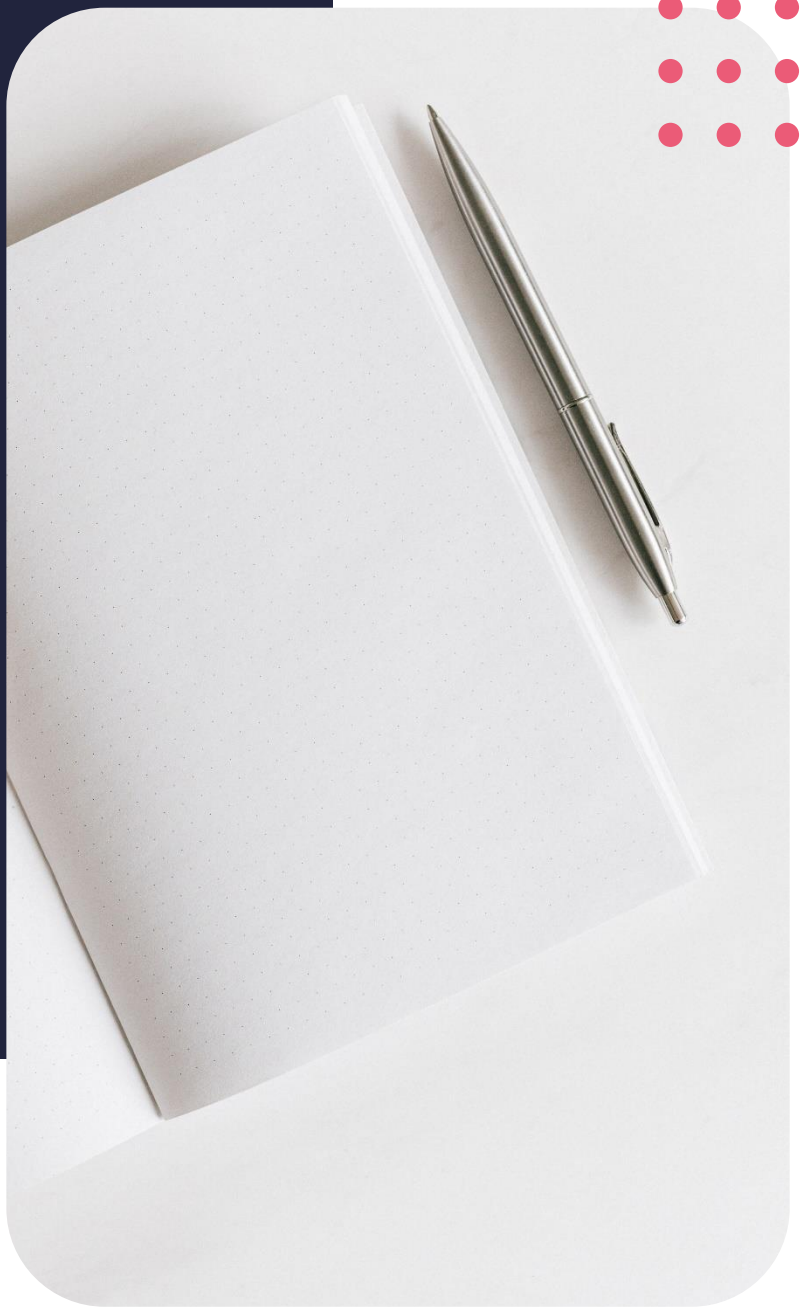


Lesson objectives

By the end of this lesson, you should be able to:

- Investigate pay, checkout and delivery options
- Consider after-sales support and customer care
- Understand the importance of ongoing user engagement
- Look at the future of e-commerce

Introduction

In the previous lesson, we've learned about e-commerce in general and optimising the User Experience (UX) of an e-commerce website or app. We started with the typical customer journey as they flow through the online buying process, up to the point where they finally decided what specific products to buy. In this lesson we will continue this journey, picking up from the payment and checkout process to delivery, customer care, after-sales support and to keep the customer happy and engaged so that they will buy again from us.

Easy to pay, quick checkout and delivery

Support a variety of payment methods

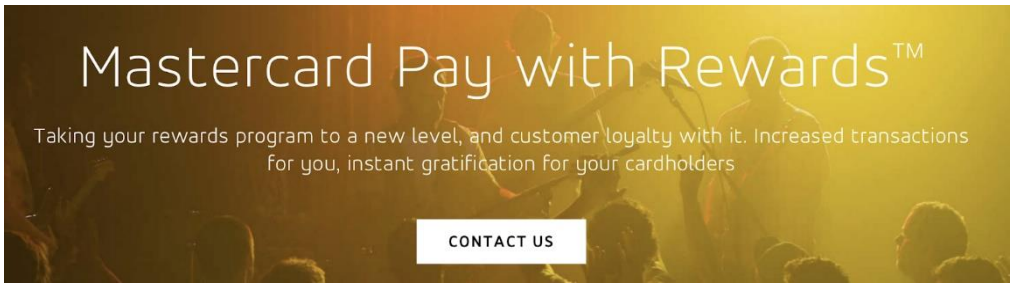
Modern e-commerce shoppers want a variety of payment methods. They expect to see a method available that they are familiar with and comfortable using. Payment methods are a very sensitive topic to some users, especially those who want to avoid risk as much as possible, even if this risk perception is a false perception only. They tend to prefer cash, therefore payment options such as cash on delivery or direct bank deposits from an ATM or bank branch should be available, especially if your customer base is older or not particularly tech or financial savvy. Good old electronic funds transfer (EFT) should also be available.

Credit cards are preferred by most people for online shopping for local and international purchases, therefore the major credit card providers must be supported. Some users don't qualify for or shy away from credit cards, therefore online payments from debit cards should be available if possible. Digital savvy customers and those who want to transact easily across country borders and who don't want to use a credit card, traditionally preferred to use methods such as PayPal, although a variety of new digital wallet-based methods are available such as EasyPay.

In an omnichannel commerce world, phone scanning of QR codes options such as SnapScan and Zapper are quite popular, especially in some markets in Asia. More recently, phone tapping payment solutions, based on Near Field Communication (NFC) such as Android and Apple Pay, and various cell phone carriers, are becoming very popular because it allows users to pay with their phones only, without having to carry a card with them.

Payment methods like Bitcoin and other cryptocurrencies appeal to digitally savvy customers and those who wish to remain anonymous in their purchases.

Payment through loyalty scheme points is also going to grow in importance as more businesses are becoming part of larger digital ecosystems. In this example, you can see how developers, e-commerce site owners and others are encouraged to integrate their rewards programs with Mastercard.



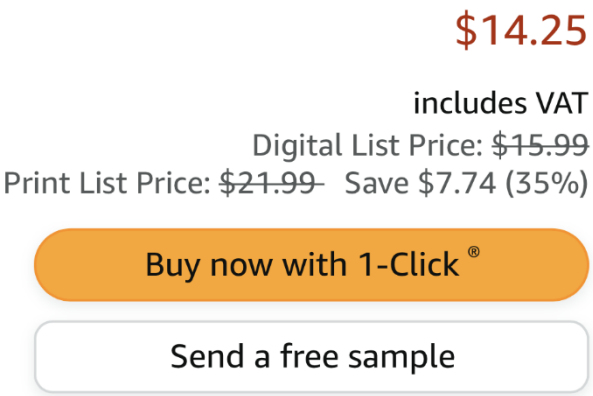
Quick checkout

After the user decided what to buy, make it quick and easy to check the product out and make the payment. Do not ask for any information that you don't already have or don't need. Safely store payment and delivery information and other preferences but make it easy to change their detail if needed.

If buyers in your product category tend to buy one large item at a time, skip the 'put in basket' step, let them just buy the single large item and get it done as easily and in as few steps as possible. However, often products are not bought one at a time. For example, if a customer buys grocery, don't let them check out and pay for each item one by one, rather let them group the selected products in a virtual 'basket' or 'cart' so that it can all be checked out and paid in a single step. Even large products may not necessarily be checked out as a single product, often you may want to upsell or cross-sell other products with it. For example, if you want to buy a wedding ring, which may be a once in a lifetime purchase, you may try to add other products like insurance or a watch.

Be aware that the name or concept of having a cart or a basket for checkout depends on the situation. Some countries like the USA prefer the word 'cart', while 'basket' is preferred in many other English-speaking countries. For luxury goods, the term 'bag' may be more appropriate because in the physical world a basket or cart is associated with ordinary items while luxury items are not placed in a cart or basket but a neat bag or box. Some items are not at all placed in carts like services, aeroplane tickets and cars, and although in some contexts it may sound fine, other times it just sounds odd, like placing a car in a cart.

Enable users to buy with a single click of a button, like the famous 1-click purchase button of Amazon, illustrated below. This is especially useful to regular customers. However, make this optional and empower them to switch one-click checkout in their profile or preference settings, because risk-averse users or users who feel they may become addicted to buying are not comfortable with a single button click. Also make it possible for a user to cancel if the user clicked the button by accident, which could often happen.



Delivery timing, fees, and batching

Delivery timing and fees are important considerations for optimising the online shopper experience. Modern online shoppers increasingly expect same or next day delivery at a convenient estimated time at the user's preferred location. They are not patient and value immediate gratification. Therefore, delivery must be as quickly as possible. Unfortunately, the quicker the delivery, the more expensive it is. To accommodate both users who need the product urgently on the one hand, and customers who are price-sensitive and not in a hurry on the other, let them specify how urgent the delivery is. Users may then pay less for slower delivery or pay extra for quick delivery. Having this option available may be of great value to users who don't mind paying extra for the convenience of quick delivery or who urgently need the product. It is also of great value to users so price-sensitive that they don't mind waiting for a bargain, and users who buy from you regularly, like power users and business buyers, who probably won't mind waiting a while for a lower price.

Regarding fees, online shoppers increasingly expect no or very reasonable delivery fees. Strongly consider free delivery, at least if the user spends above a reasonable amount.

Flexible batching from different suppliers may be very helpful to make shopping from more than one supplier or shop easy. Customers don't want to sit and wait for several deliveries and pay for several drivers to bring them items ordered. Sellers must coordinate to deliver in the same batch whatever the customer ordered, even if it is bread from the local bakery, medicine from the pharmacy and a tool from the hardware shop. This is an important reason why partnering with logistics or delivery solutions providers may be highly beneficial, in addition to cost reduction and speedy delivery. A single online retailer, especially if it is a small one, will find it very expensive and difficult, if not impossible, to handle delivery itself.

The delivery location and tracking of order status

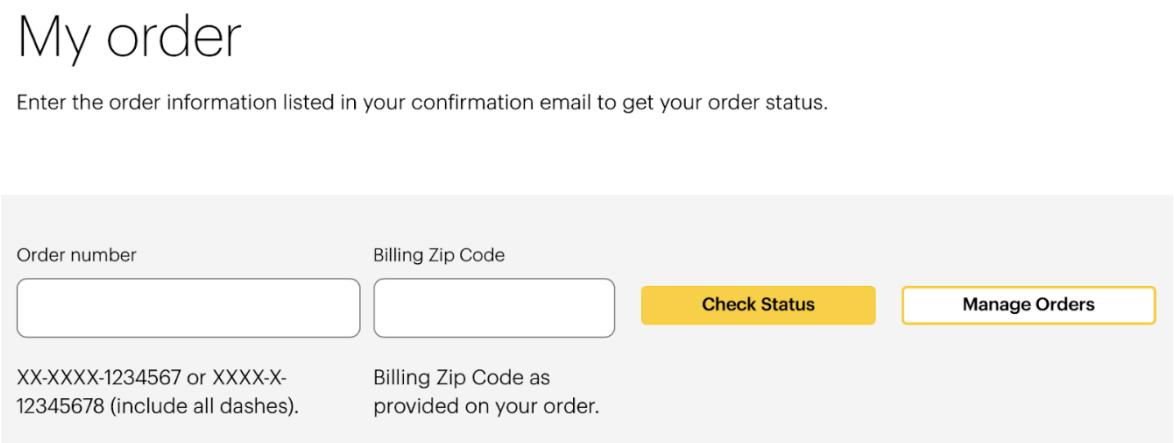
Ideally, allow for delivery not only at a convenient time but also at a convenient location for the customer. A convenient location usually means at the buyer's house or workplace. However, it may be at any place where the user finds themself at the time, like at a hotel, at family or friends, while travelling. It may even need to be delivered at someone else's location, to whom the buyer buys it, like a gift.

For new online businesses, it's best to start in a single city and move on to the next after you properly conquered your first city, especially if your product has mass appeal amongst the general population. However, if you wish to gain large scale sales, you must have nationwide delivery, even global if you sell niche products. Also deliver in smaller population centres, not just in large cities.

Allow for contactless delivery, which will help to address the fear of crime and contagious disease.

Also, allow for self-collection as an option. Sometimes users want to order online but collect it themselves at a time and store or pickup point of their choice, therefore partnerships with omnichannel or brick-and-mortar chopping chains or outlets can be important. Some courier companies and even banks maintain collection boxes at public places which could be a delivery option.

Show delivery status and progress not only through the checkout process but also after the sale has been made, so the customer is informed and can easily enquire about the whereabouts of the product before delivery. A linear progress stepper is ideal, with a timeline and button or contact details to get more details. E-commerce customers want the ability to track where in the process their orders are, at any time, on the app without calling a call centre, in real-time. They want to see where the driver is, along with the estimated delivery date, time, and place, and be notified in case of any delays. In the unfortunate situation that there may be a delay, explain why there is a delay and make it very easy to reschedule delivery time and address if need be, to suit the user best. Here you can see a place where T-Mobile users can securely log in to see and manage their order status.



Did you know?

Lest take a quick break from all of the information that we have been working through with an interesting fact. Did you know that the amount of users shopping online is at staggering 2.14 billion people worldwide at the moment? This is probably increasing as you watch this lesson and will be a lot more in future.

After-sales support and customer care

Quick and seamless communication and additional information

Orders should be automated so that they can execute immediately. After you got an enquiry, complaint, or suggestion, make certain to respond as soon as possible, within just a few hours maximum. and to treat the customer and their request, no matter how trivial or negative it may be, with respect, politely and fairly, otherwise you may get bad reviews which could be harmful to your brand.

Users want the option to speak to a real person, without waiting, who can address any issues they may have such as lost or damaged product, incorrect payment, or anything else that may go wrong. Provide a phone number for those users who prefer to phone, or for users with an urgent issue who need immediate interaction with a customer support staff member.

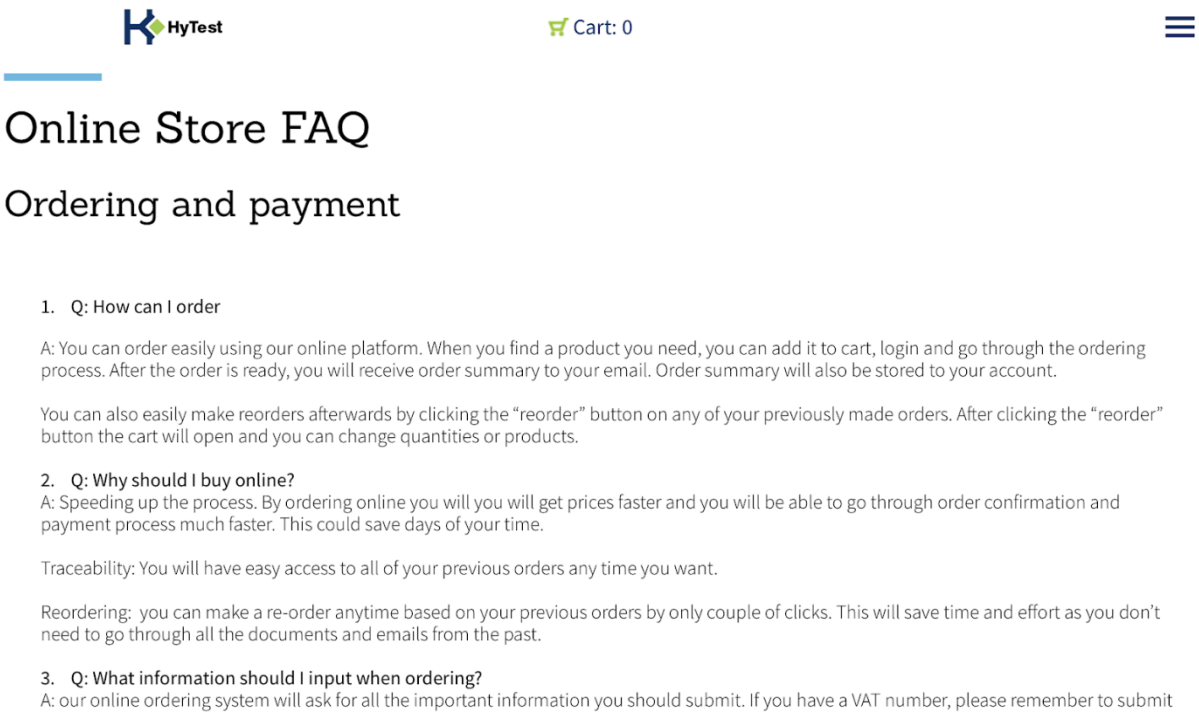
Also provide email, not only an online form, because users often want a copy or proof of communication and don't trust that a form will provide that, even if it is mentioned that a copy will be sent to their email. Users are also afraid that the form may not submit successfully after they invested a lot of time filling in the form, while they know their email provider save their text automatically and continuously.

Live chat is preferred by tech-savvy users who want quick answers. A chatbot can be very helpful to assist users immediately rather than them having to wait until a human assistant is available, and it's also very helpful to provide round the clock assistance rather than only during office hours. However, the chatbot must be properly trained, and if the chatbot can't resolve the user's issue, or if the user wants to chat with a real person, the conversation must be escalated or passed on to a real person. The person should then be able to see the initial chat with the chatbot to provide instant context so that the user doesn't have to explain it all over again.

These communication channels should preferably be available throughout the day and night because users want to shop online and get support at any time. Users may also buy from other countries in different time zones.

Physical addresses may be important for some customers who want to see or discuss a product in person, or who may not trust buying online in general. A physical address plays an important role to let a user trust the site.

Invest in the writing of a comprehensive and user-friendly Frequently Asked Questions (FAQ) section. This FAQ section must not only address common pre-sales questions but also common post-sales questions like how to return a product and a money-back policy. If you don't answer these questions you may get unnecessary calls. An FAQ may also let users feel safe to shop with you because it reduces the perceived risk of doing business with you. Here you can see an example of an FAQ section for the HyTest online shop. This is fine for a simple FAQ section, however, if you have a more complex setup that accommodates a lot of questions and answers, you should add a search bar to search the FAQ section, and collapse the answers, so that a particular answer will only appear if it's question is tapped or clicked.



Return policy

Having a fair return policy is very important to build and maintain online customer relations. This user-friendly return policy must be clearly communicated and visible on the e-commerce site or app. Users should be able to return goods for any fair and reasonable reason like if an item is slightly damaged, a wrong model or size or dysfunctional. Some online retailers find the trust-building component of a lenient return policy so important that they allow for 'no questions asked' returns where the user won't even have to provide a reason for returning. A good return policy reduces perceived and real risk to the customer for making a purchase, which is particularly important in e-commerce where the user can't view the product in real life before purchasing it.

After purchase, the customer must be provided with a fair period to request a refund or return, after receiving the product. Some customers may not use the product immediately, so allow for enough time to receive, properly inspect and try to use the product. If a return is granted, the return of the money or replacement product must take place within a fair time window.

Preferably provide the option to the user whether they want the money to be returned, or a replaced good, or credit at the shop. This must be the user's choice. Although replacement of the good may be the best option for the manufacturer, it may not be for the e-commerce site because often a user is so dissatisfied with the product's quality that they don't want that product or anything from that manufacturer's brand again. If you provide credit at the shop but no money-back guarantee, it may seem good for the shop, but the problem is that it will be perceived as riskier to new customers. Do not charge a return fee as this may further reduce customer frustration and loss of goodwill and is not worth the money due to brand damage.

Of course, there should be precautions to protect the company against misuse of the return policy, for example, some users may see this as an opportunity to 'borrow' the product, or they may become careless in selecting the right product. If it is easy to return an item, they may not put in any effort to select the right product. It is important to have a lenient return policy, but you must also make it very easy to select the right product as described earlier. Overall, for many goods, and especially for trusted target market segments, keeping customer goodwill and gaining initial trust is so important that some losses from return practices are strongly overpowered by the gains in sales and brand loyalty of a favourable returns policy.

Here you can see an example of a clear return policy that does not hide behind legal fine print. It explains all common and important customer questions in layman's terms and provide a link to the detailed terms and conditions just in case someone wants to put in the effort to read those, and to protect themselves legally.

Returns Policy

For full details of returns, exchanges and refunds please refer to the Online Shopping Terms and Conditions.

30 Day FREE Returns

You have 30 days to return your purchase from the date of delivery or collection. All items should be unused and returned in the original packaging with the price tag attached. We'll refund the item/s in the same way you paid, less applicable delivery charges.

How To Return

Return to store: You can return your items for Free to any SA store from which the goods originated - for example, return Totalsports goods to a Totalsports store. Refunds will be processed at the store.

Return via courier: Please contact us on 0860 834 834 or onlineshop@tfg.co.za and we will arrange a free collection within 3 to 5 working days. Ensure the return is packaged in a box to protect the items during transit. Once the items have been received and assessed at our DC your refund will be generated.

Return via Pargo: If you collected your order from a Pargo pick-up point, you can return those items to the same point and the return will follow our courier process. Please make sure your items are packaged in a box to protect them during transit and please make sure the parcel is scanned in at the pick-up point.

Exceptions

Excluded Products: For hygiene reasons we cannot accept returns of underwear, lingerie, swimwear,

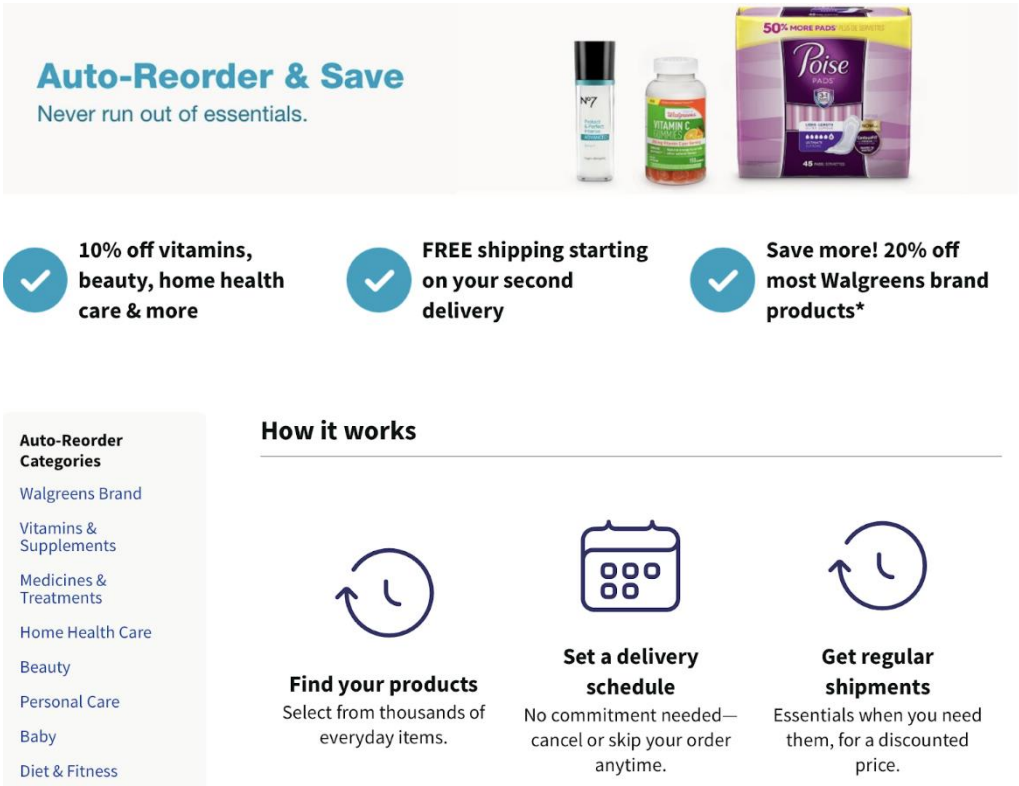
After-sales support

After a user bought an item, it was delivered successfully and they are happy without wanting to return it, your job in keeping the user happy is still far from over. You must keep the user happy and continue to market to them to encourage repeat sales.

For difficult-to-setup or install products, offer installation, setup or install services, preferably as part of your offering.

For products that require ongoing maintenance, offer a service or maintenance plan. A good example is cars that are sold with a maintenance plan for a specified time or distance travelled, but it may also be applied to various other goods that require regular maintenance like industrial machines.

For products that require consumables or things that are used up while using the product, offer a replenishment service. For example, if you sell printers, offer auto-delivery ink cartages. This can be of great value to the retailer and the customer. The retailer can increase brand loyalty and consistency in income, while the customer can get large discounts. Here is a beautiful example of Walgreens' auto-reordering page.



For products that need to be replaced regularly or are consumed up, offer a subscription plan.

For difficult-to-use or complex products, offer pre- and after-sales training to assist the customer in using your product optimally.

For some items such as high value or difficult-to-use items, the customer will appreciate follow-up calls to assist them for whatever reason.

The above options can be a very valuable additional source of income and are expected to gain traction as part of modern business models now in the age of 'internet of things' abbreviated as IoT, where sensors on products can automatically detect if something is wrong. For example, if it may need a service or maintenance, a part to be replaced, if the operator or user don't use it properly, therefore, require additional training, or if the ink is gets depleted, an automatic replenishment order.

Ongoing user engagement, social shopping, analytics

User engagement and re-marketing

After you sold the product and assisted the user in getting optimal value from it in an ongoing manner, you must do your best to retain your customer for future, ongoing sales. It is much more expensive to attract a new customer as opposed to reselling to an existing customer.

To retain customers, you must provide a good product or service, and you must build a trusting, helpful relationship. That is why dark UX patterns or short-term sales techniques aimed at tricking customers to buy, is not a long term, brand building strategy. This causes your brand to quickly lose potential customers due to a bad reputation through word-of-mouth and poor ratings and reviews.

Another important way to retain customers and generate future income from them is to engage them. Customer engagement is the process of establishing a strong relationship with your customer, making them regularly aware of your

presence and new offerings, and nurturing them into not only loyal customers but brand advocates telling friends and contacts about your brand. You must remain top of mind when a customer thinks about your type of product category. You must incentivise users to regularly check into your website or app, open your emails and read your messages.

One particularly effective way to encourage customer engagement is through a regular newsletter or magazine or email marketing containing helpful content or good specials. This is great but must be personalised according to the user's interest.

Re-marketing is also very effective to keep already interested customers (hot leads), coming back to your e-commerce site. These may not necessarily be existing customers, but they did visit your online store recently, and your digital marketing team can use modern marketing technologies to send marketing messages to them after they left your store. They are interested in your products because they took the time to view them, but for some reason are in a too early stage in the sales funnel and did not purchase. Through re-marketing messages, you can remind them of your product, and possibly offer a special promotion to encourage a purchase.

Also see insights on specials or promotions which will be covered in another lesson, which are very effective for customer engagement.

Social shopping

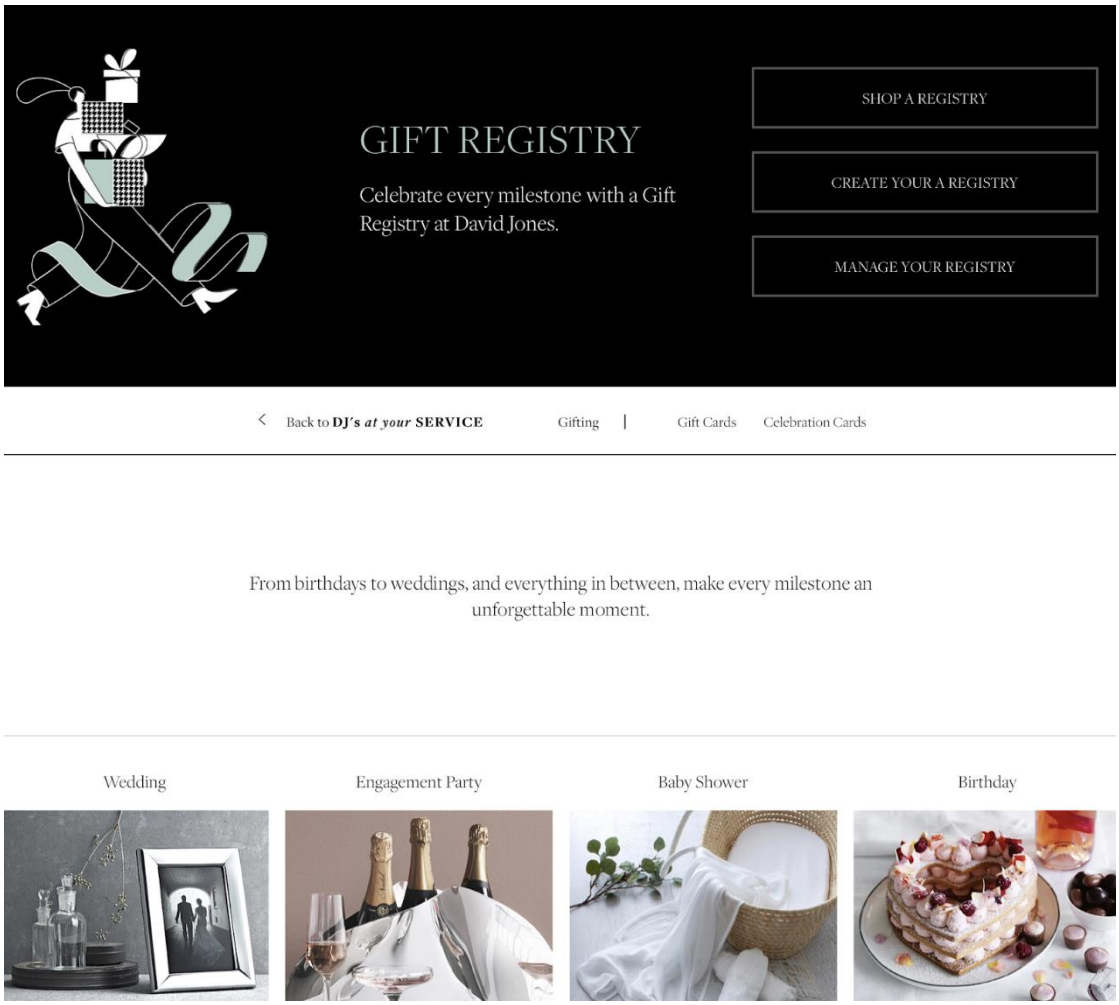
Social commerce and online community formation are very important for customer engagement. You must build a community around your e-commerce store, product, or brand. This will increase the social ties between your users and your brand, known as network effects. This is so important for UX that an entire lesson will be devoted to this topic.

Here you can see an online wine platform with a community discussing topics related to the wine industry. Building online communities around your product can be particularly useful for products that people feel passionate about, like wine, or where customers may need a lot of technical or general advice, like software or baby goods.

A key feature in an e-commerce store to enhance the user experience is a wishlist. A wishlist enables a user to shortlist products for later consideration, like product 'bookmarking'.

Gifting capability combined with wishlists is effective not only to retain existing customers but also to spread the news about your products to a wider network of people. Help users to select a suitable gift for someone else, wrap it, attach a personalised message, and deliver where and when it will surprise or amaze the receiver. Also consider developing a gift

registry where friends can coordinate gift buying, possibly integrated with social media, according to the recipient's wishlist on your e-commerce platform, like a bridal registry but for any person, any occasion. Here is a classy example of a gift registry from David Jones, well-positioned to celebrate different occasions.



Data analytics and intelligent customisation of the user experience

Last but probably most important, not only to facilitate meaningful user engagement but to be a truly effective and user-friendly e-commerce store, the whole design, marketing efforts and customer experience must be data-driven. Don't be afraid to have very ambitious plans for data analytics, machine learning and artificial intelligence. This will enable you to provide a truly personalised and sales-efficient customer experience. We are now in the age of modern cloud computing platforms, where these cloud service providers like Salesforce, AWS, Google Cloud, Microsoft Azure and IBM can provide you with cost-efficient and easy to implement AI and analytics capabilities. Soon it will be a must, otherwise, competitors will poach your customers from you and you will constantly lose market share. Of course, using customer data has legal and ethical restrictions. Hence, be open with your customers about how you will use their data to their advantage, and assure them that their data will be safe with you.

The future of e-commerce

E-commerce has a bright future. As technology and logistic systems progress, and more people become comfortable with online shopping, e-commerce will grow rapidly.

Unfortunately, there may be a danger that just a handful of e-commerce platforms will become so strong that they will completely dominate the market. A good example is Amazon and Alibaba. There will be a need to constantly innovate to compete with such giants. One way to compete is to focus on very specific niche markets and to provide a truly excellent, personalised User Experience.

Emerging technologies will increasingly be applied in e-commerce. Internet of Things will enable users to buy products exactly where and when they may be needed. Blockchain will completely transform logistics and delivery, and in recording the changing of ownership and transfer of payments and will make leasing and peer-to-peer sales increasingly reliable. Artificial Intelligence will help users to make optimal decisions and find the most suitable priced product easily. Virtual reality will enable users to easily inspect and virtually try out products. These are just a few examples, but it's such an important topic and will have such a great influence on UX that an entire lesson will be devoted to the application of emerging technologies to improving UX.

E-commerce stores will source their goods from an increasingly broader supplier network, from local to global suppliers, artisan-produced goods to mass-produced goods, increasingly niche or long-tail products and value-added services attached to the goods sold.

"Sometimes I want to buy highly specialist products only available from overseas, sometimes from large factories to save costs, but I also want to buy local and support small businesses in my neighbourhood or support craftspeople who make unique products"

E-commerce will evolve from simple online stores which belongs to a single owner business to a network or platforms of e-commerce stores, almost like virtual malls. More and a larger variety of 3rd parties will join these platforms to form a complex mesh of interconnected platforms, where these different 3rd parties can collaborate to make the user experience increasingly efficient and seamless. Some examples of online retailers or platforms with such a platform or ecosystem business strategy are Amazon, Shopify, and Alibaba. They are evolving into marketplaces where various sellers and manufacturers can set up shop, and a large variety of service providers such as lenders, couriers or logistics providers, payment providers, accounting and inventory management software, insurers, artificial intelligence, and data analytics software providers etc. can join in to co-create value to customers.

Conclusion

If you were to sell a niche product online, what would you sell and why?

In this lesson, we concluded our learnings about e-commerce UX. We learned how to make the payment, checkout and delivery process as painless and seamless to the user as possible. We also discussed the importance of post-sale support and how it can generate additional income. We discussed how important it is to keep customers engaged to encourage future sales from them. Lastly, we discussed the exciting future of e-commerce.

Ending off our lesson from a quote by the co-founder of Rewards21, Gary Gebenlian: Don't assume it all works! Put yourself in your customers' shoes and do everything they will do.